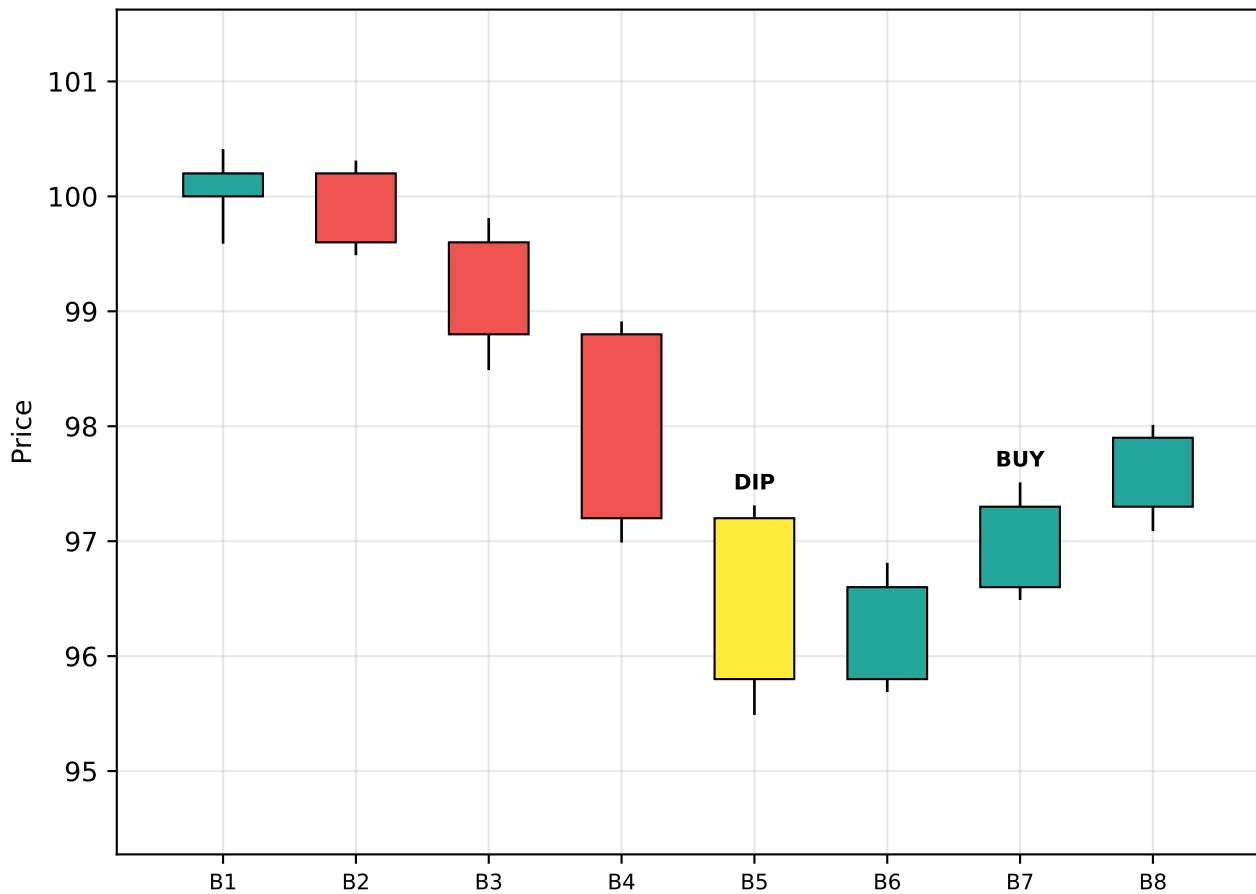


Dip Red + 2 Green

Universal TradingView Indicator — Visual Guide

Core idea: oversold red dip → wait for greens → BUY

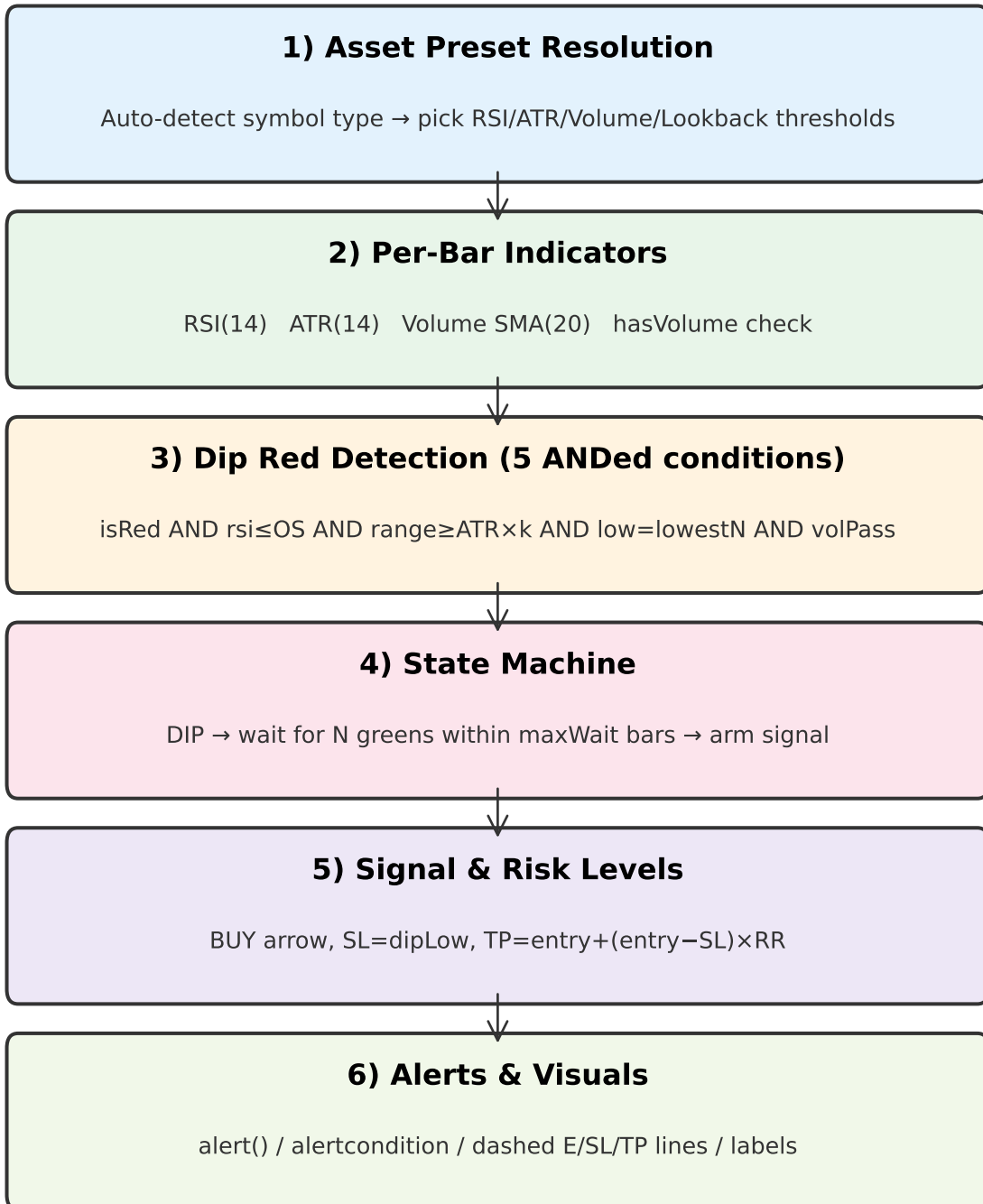


Core Logic • Improvements • Examples

Pine Script v6 | Multi-Asset Preset Engine

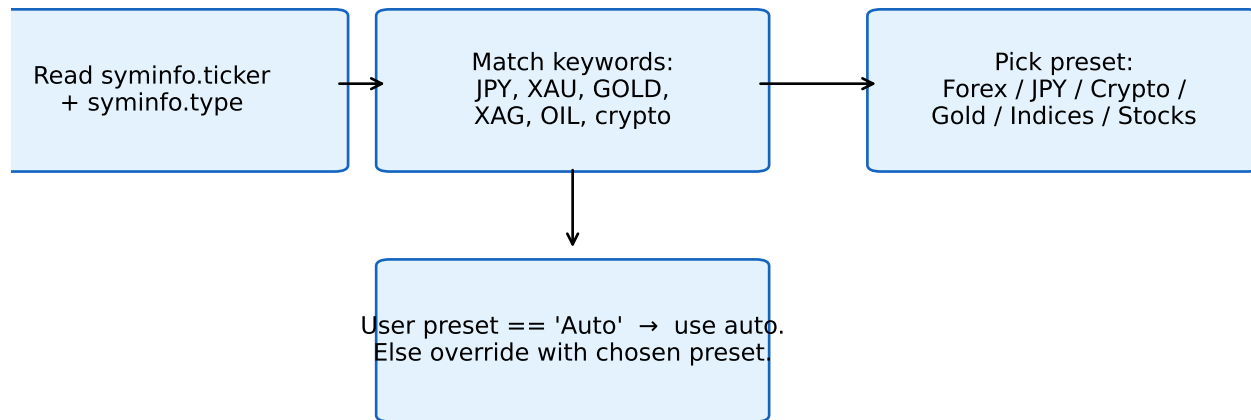
Generated with Claude Code

1. Pipeline Overview



2. Asset Preset Resolver

Logic flow

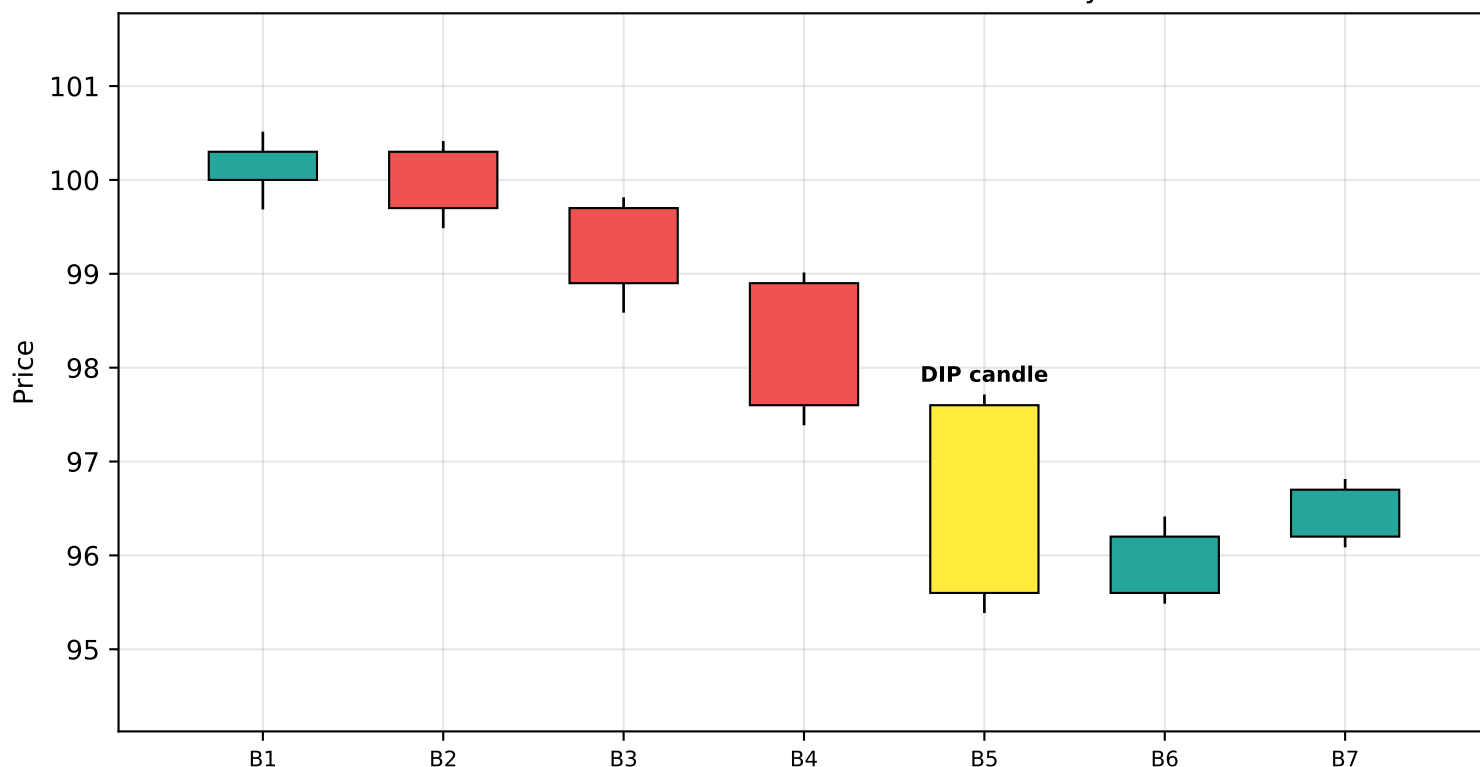


Effective thresholds per preset

Preset	RSI OS	Range×ATR	Vol×Avg	Lookback
Forex Major	33	0.5	0.8	8
JPY Pair	30	0.7	0.9	10
Crypto	30	0.8	1.0	8
Gold/Metals	32	0.6	0.8	8
Indices	35	0.5	0.7	6
Stocks	32	0.6	0.9	8
Custom	user	user	user	user

3. Dip Red Detection — Five ANDed Conditions

Candle 5 satisfies all 5 conditions → marked yellow



All conditions must be TRUE on the same bar:

isRed

→ $\text{close} < \text{open}$ → bearish body

$\text{rsi} \leq \text{effOS}$

→ Oversold momentum (e.g. $\text{RSI} \leq 30$ for crypto)

$\text{range} \geq \text{atr} \times \text{effATR}$

→ Bar is wide enough — real flush, not noise

$\text{low} \leq \text{lowest}(\text{low}, \text{effLook})$

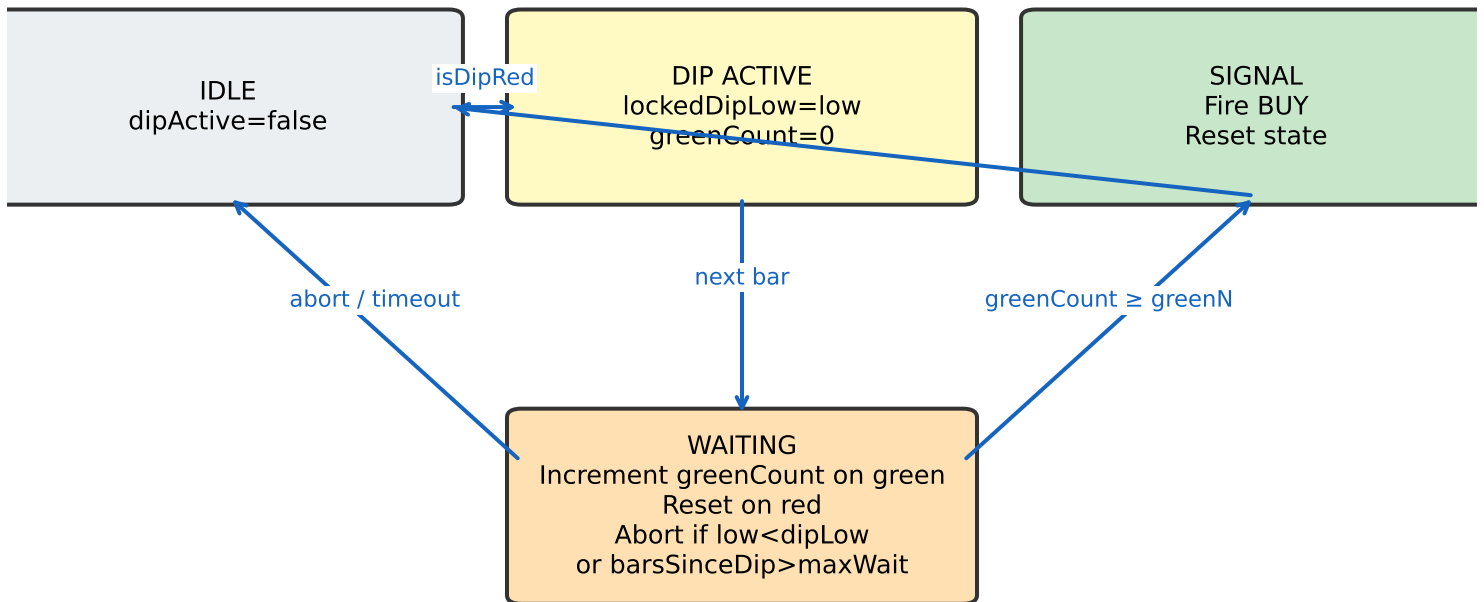
→ New low vs prior N bars — true pivot dip

volPass

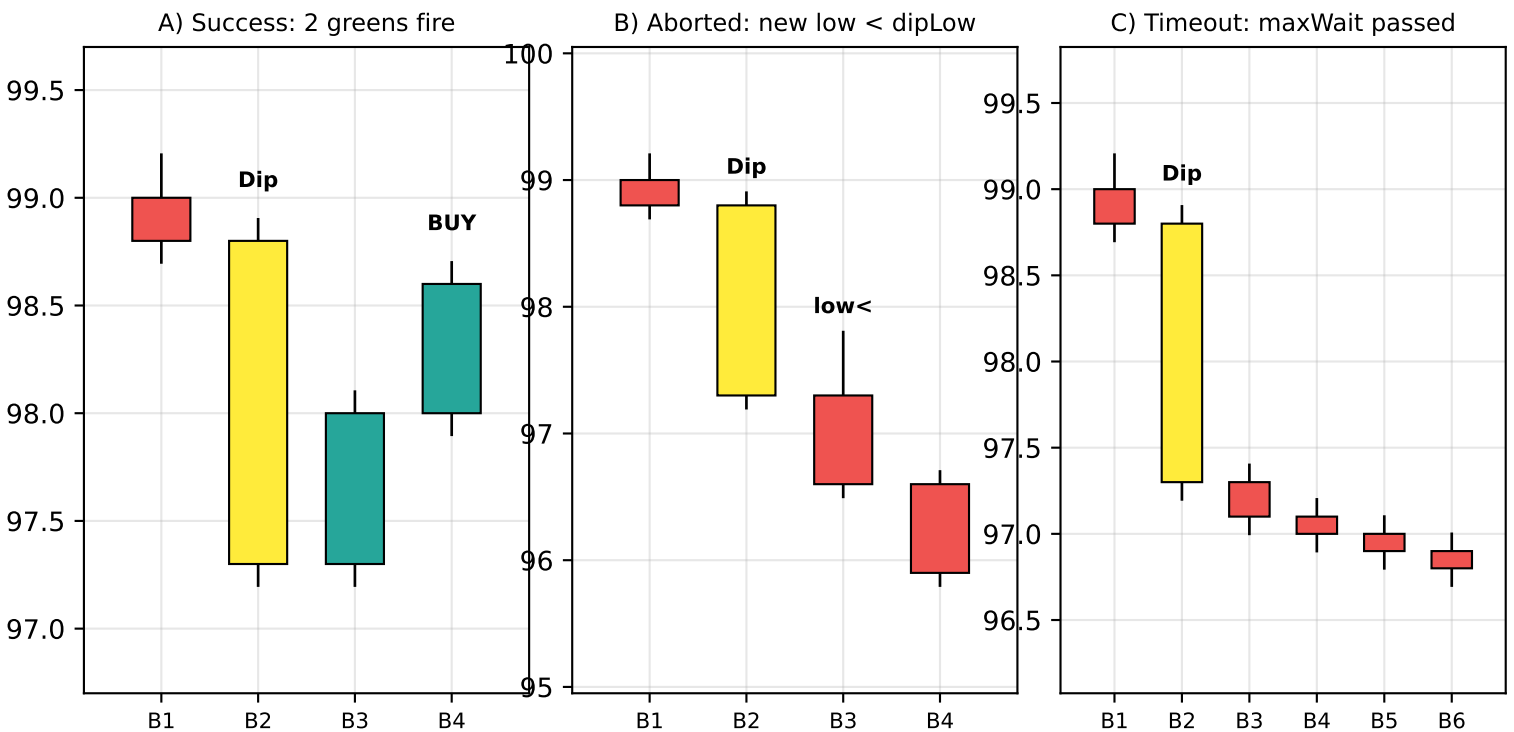
→ $\text{volume} \geq \text{avg} \times \text{effVol}$ OR symbol has no volume data

Auto-skip rule: when $\text{ta.cum}(\text{volume}) == 0$ (FX brokers without tick volume), the volume filter is bypassed automatically so the indicator still works.

4. State Machine — DIP → Wait → Greens → Signal

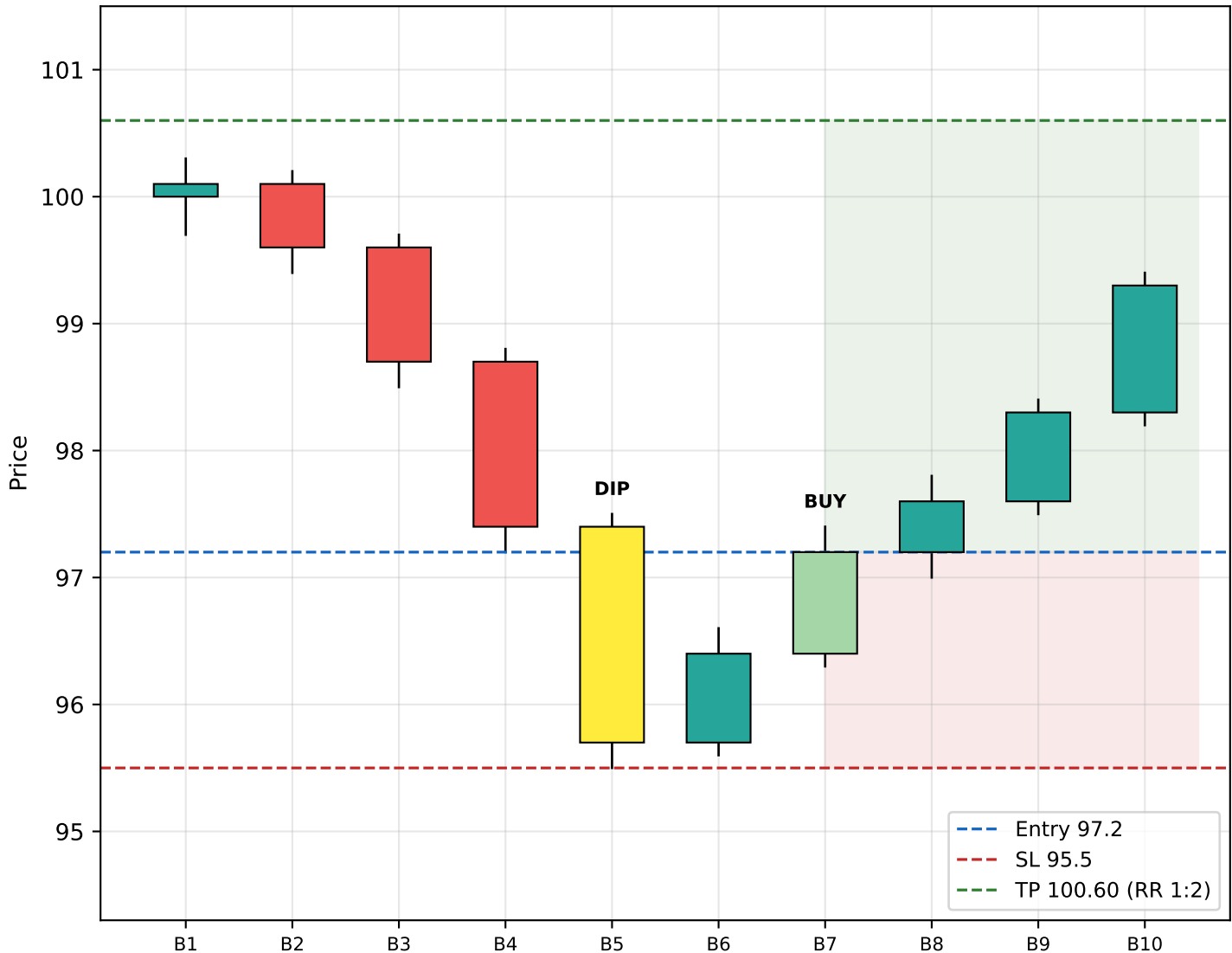


Three timeline outcomes



5. Signal Bar + SL / TP Construction

Risk zone (red) below entry — Reward zone (green) above



Formulae

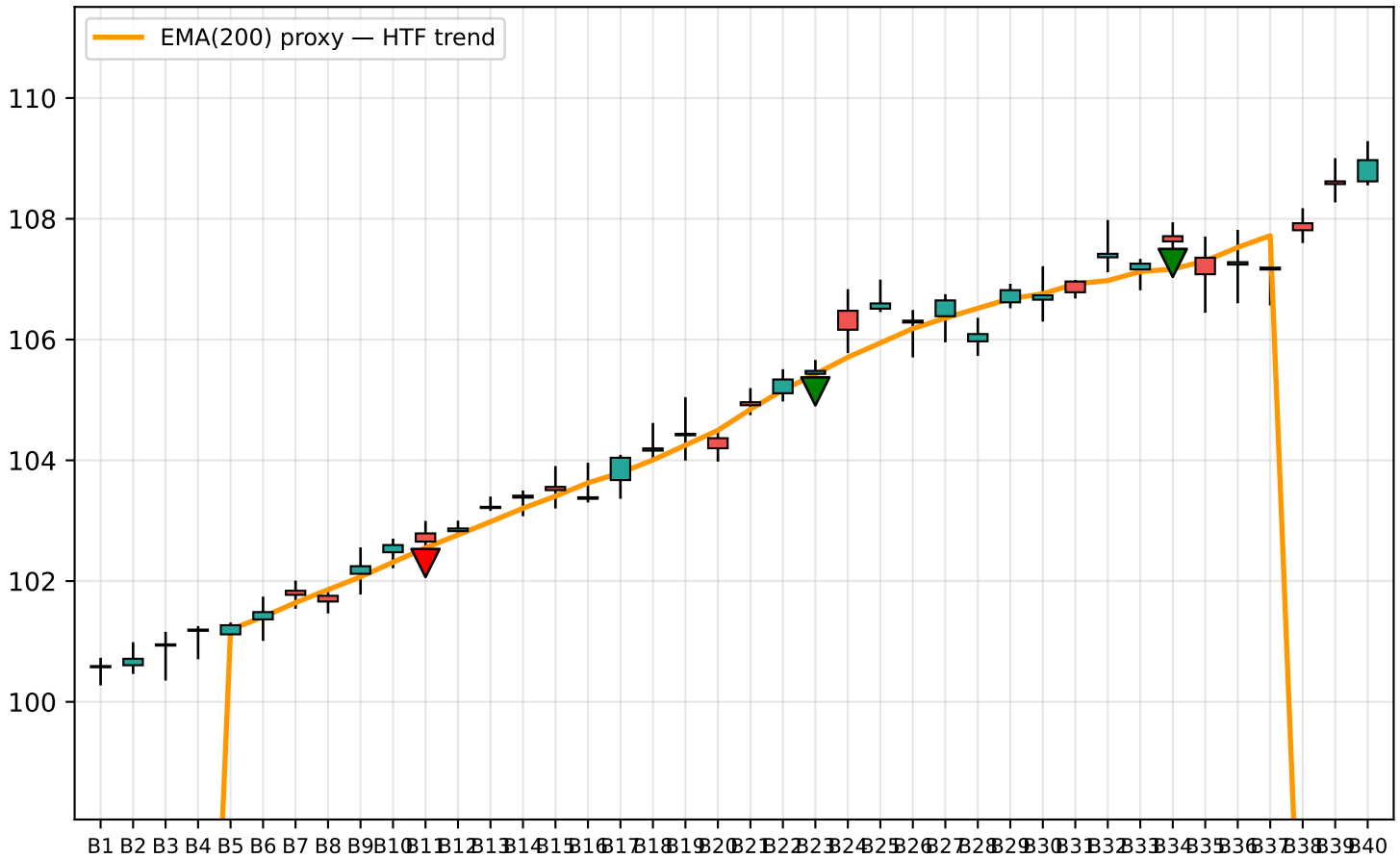
```
entry = close // signal bar close
SL = lockedDipLow // captured at the dip bar
TP = entry + (entry - SL) * rrTarget // default rrTarget = 2.0
risk_pips = (entry - SL) / mintick / 10
reward_pips = (TP - entry) / mintick / 10
```

Strength: SL anchored to a structural low → invalidation is meaningful.

Weakness: a tight wick low can produce a too-tight stop. See Improvement #2 (ATR buffer).

Improvement #1 — Higher-Timeframe Trend Filter

Only take dips when price is ABOVE the HTF EMA (green ticks)



Why it matters

Mean-reversion buys fail in strong downtrends. Filter dips with a higher-TF trend (e.g. 4H EMA50 while trading 15m).

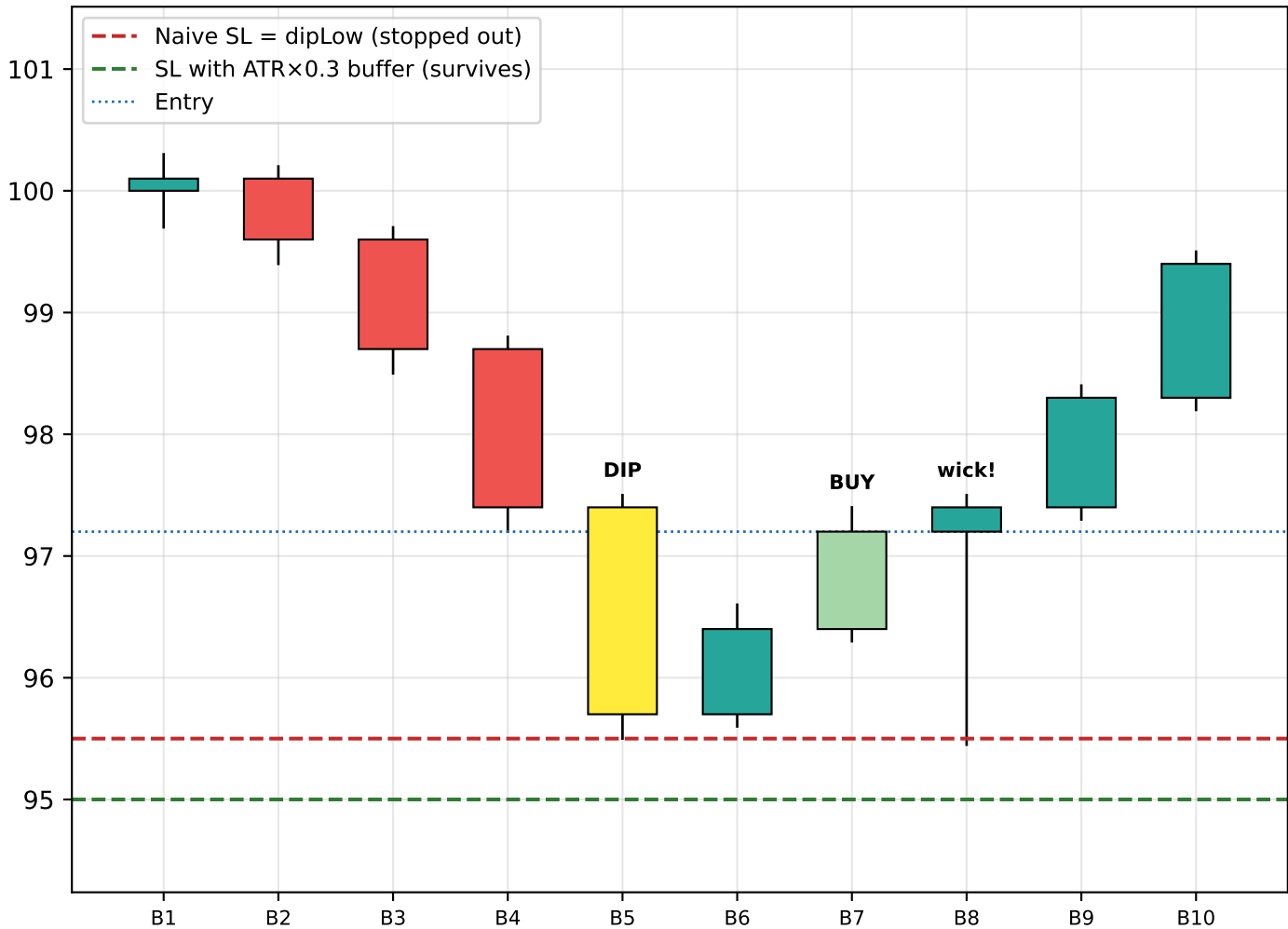
Pine snippet

```
htfTrend = request.security(syminfo.tickerid, "240",
                           close > ta.ema(close, 50))
signal := signal and htfTrend
```

*Expected impact: cuts low-quality counter-trend signals dramatically;
biggest single accuracy improvement you can make.*

Improvement #2 — ATR Buffer on Stop-Loss

Wicks below dip low cause premature stops — buffer them with ATR



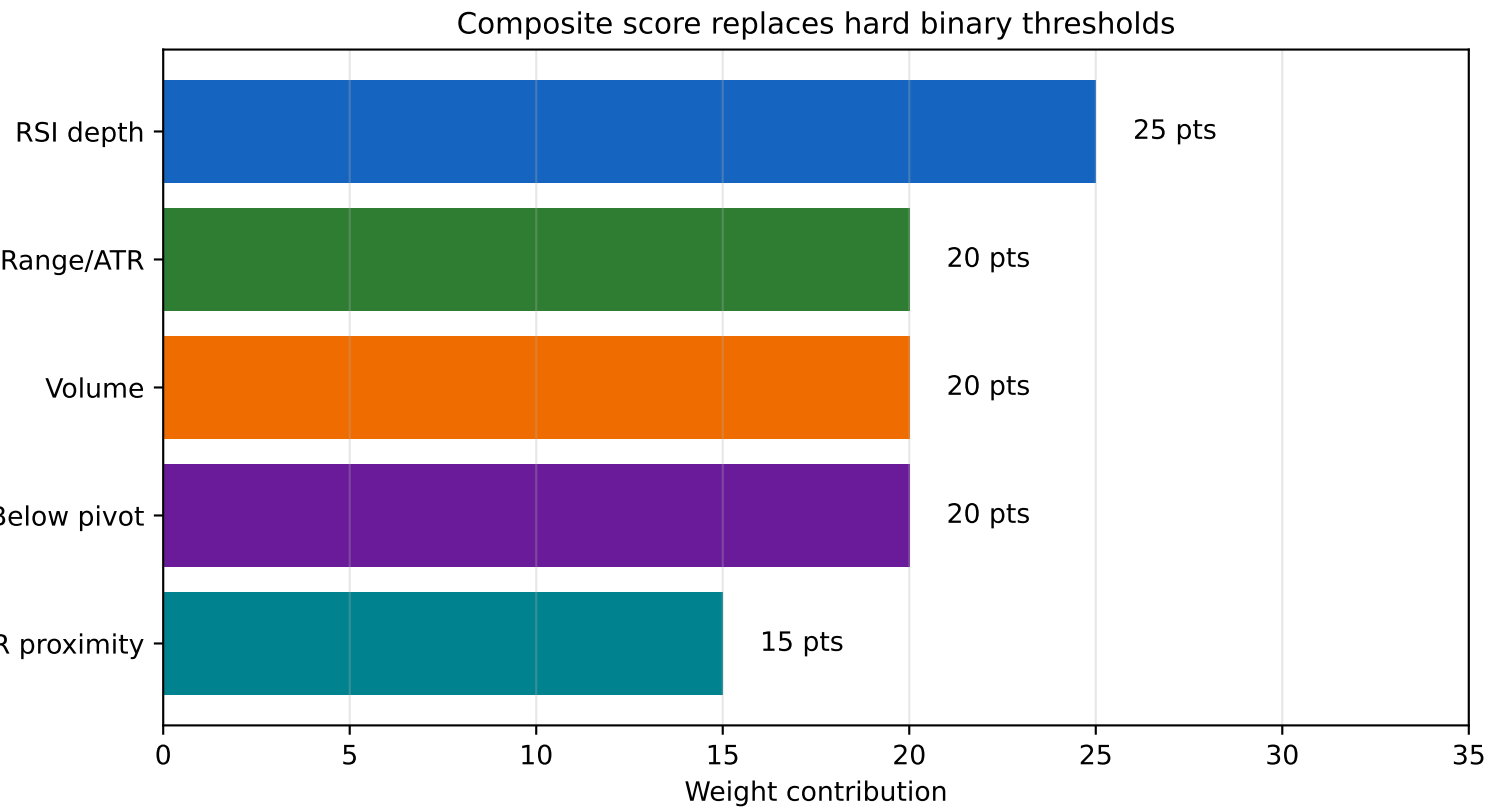
Pine snippet

```
slBuf = input.float(0.3, "SL ATR buffer")  
  
slPrice = lockedDipLow - atr * slBuf
```

Trade-off

- Wider SL → smaller position size for the same risk amount.
- Reduces stop-hunts; usually improves win rate by 5-15%.
- Combine with a multi-TP exit (Improvement #5) to keep RR healthy.

Improvement #3 — Dip Quality Score (0-100)



Pine sketch

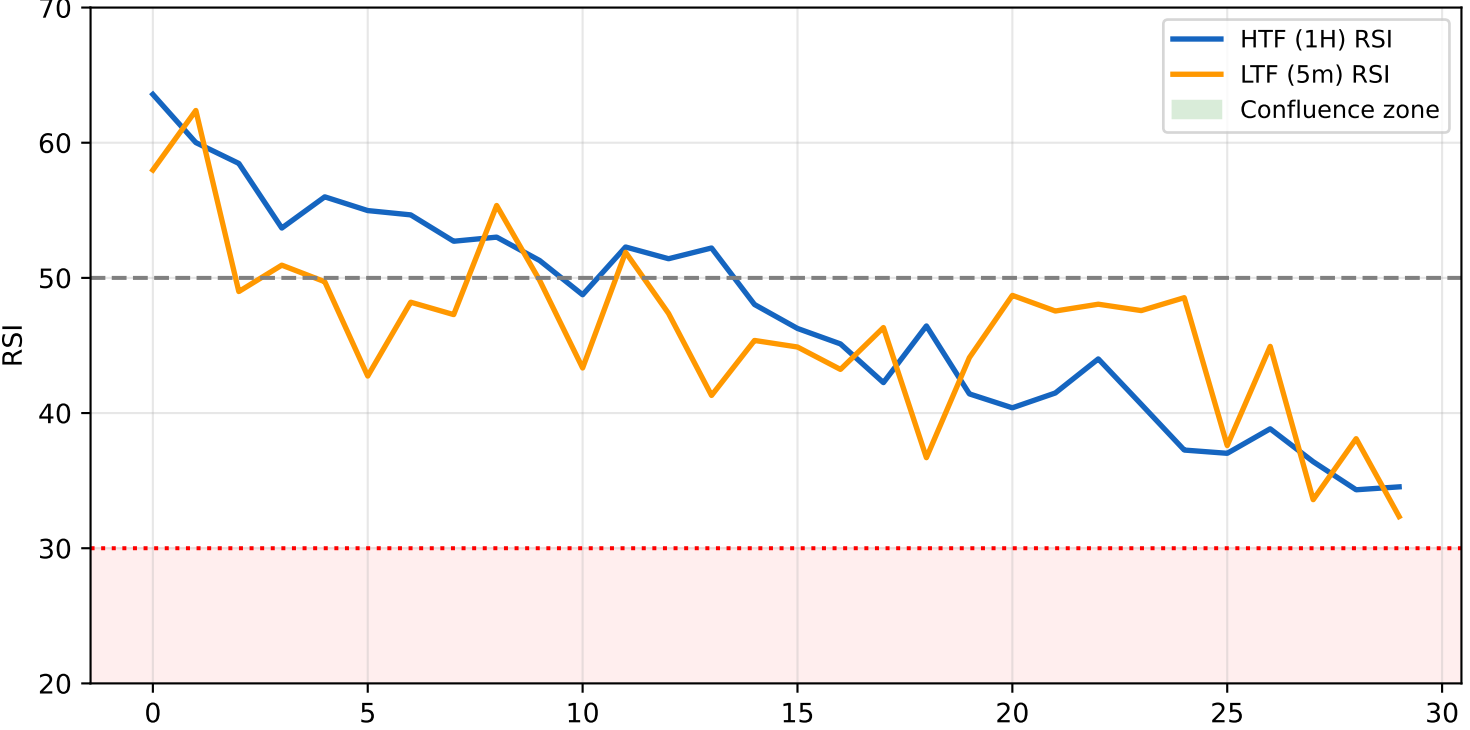
```
score = w1*norm(eff05 - rsi)      +  
       w2*norm(range/atr)         +  
       w3*norm(volume/volAvg)     +  
       w4*norm(distBelowPivot)    +  
       w5*srProximityFactor  
isDipRed := isRed and score >= scoreThreshold
```

Why this is better than hard thresholds.

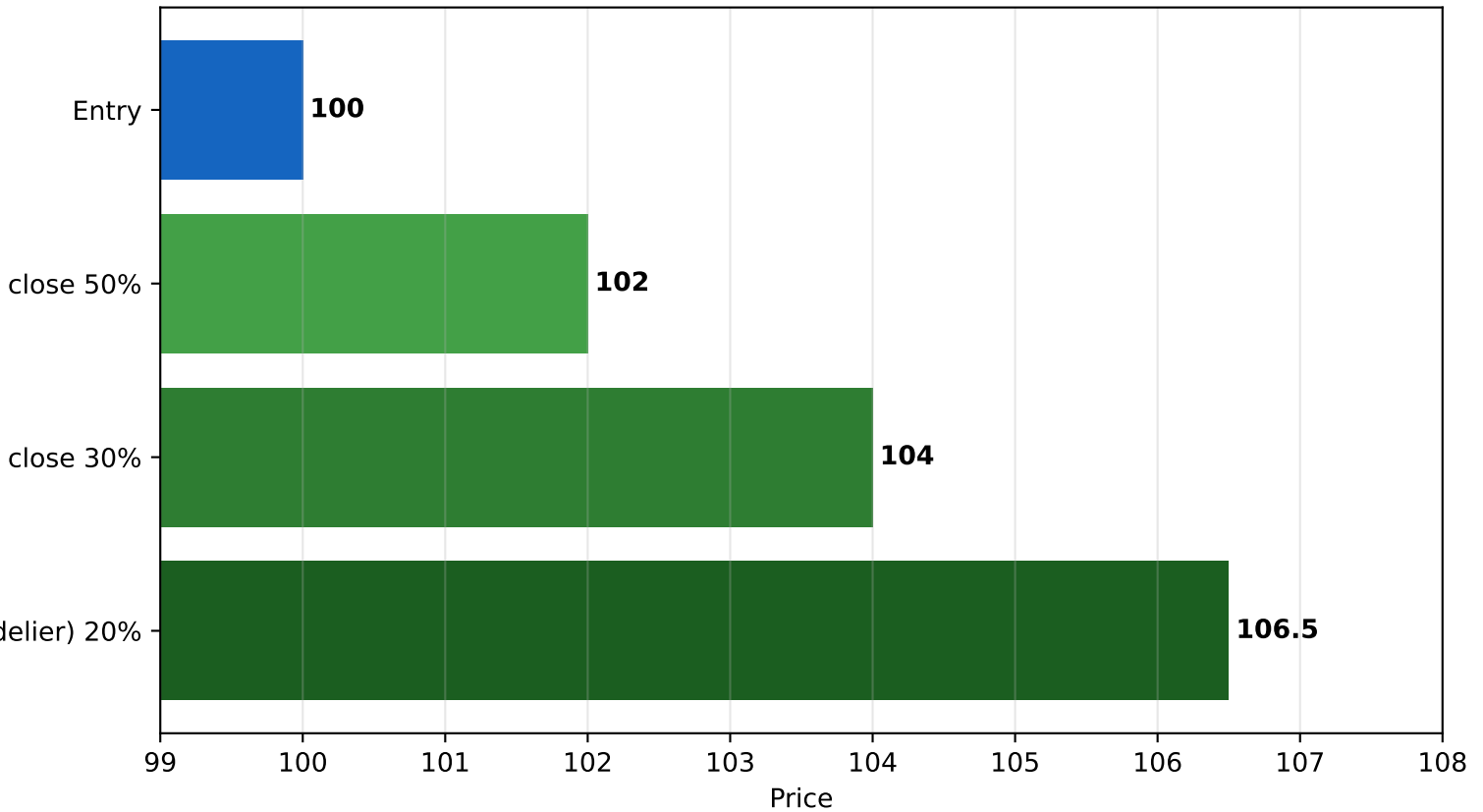
- One knob (scoreThreshold) tunes overall sensitivity.
- Setups can be ranked, sorted, and filtered.
- Color the on-chart dip diamond by score → instant visual quality gauge.
- Easier to backtest: log score vs outcome, find the sweet spot.

Improvements #4 & #5 — MTF Confluence + Multi-TP Exit

Trade only when LTF oversold AND HTF still pulling back



Tiered exit: lock in profit early, let runners run



Summary & Recommended Order

Core logic recap

Detect an oversold red 'flush' candle that prints a fresh low with adequate range and volume; confirm reversal with N green candles within a max-wait window; then fire a BUY with SL at the dip's low and TP at a configurable risk-reward multiple.

Strengths

- Asset-aware presets remove most parameter tweaking.
- State machine prevents stale signals (timeout + new-low abort).
- Auto volume-filter bypass keeps it usable on FX brokers without tick volume.

Top weaknesses to fix

- No trend context — fires longs in clear downtrends.
- SL exactly at dip low → wick stop-outs are common.
- Binary thresholds can't rank setup quality.

Recommended improvement order

- 1) Add HTF trend filter (biggest accuracy gain, 1 line).
- 2) Add ATR buffer to SL (eliminates wick stops).
- 3) Convert to strategy() and backtest each preset.
- 4) Replace hard rules with a 0-100 dip quality score.
- 5) Add multi-TF RSI confluence + multi-TP exits.
- 6) Mirror logic for SHORT (Rally Green + 2 Red).

End

This document is a visual reference — the indicator's source remains the source of truth. Backtest every change before going live.